

Lesson 12

Case Study: Negotiation



Warm-Up

1. Share an example of a successful negotiation you've been a part of, and what tactics were used to achieve a positive outcome.
2. How do you determine your walk-away point in a negotiation, and what factors influence this decision?





Case Study: The Licensing Negotiation

Software Inc., a leading software company, sought to license its flagship product, “DataMaster,” to a major tech firm, TechCorp. The licensing agreement would provide Software Inc. with a significant revenue stream and expand its market reach. However, the negotiation process broke down due to disagreements over pricing, usage rights, and support services.

Software Inc. demanded a high licensing fee, while TechCorp was willing to pay a lower amount. The pricing gap created tension and hindered progress. On the other hand, TechCorp wanted unlimited usage rights, while Software Inc. was hesitant to grant such broad rights, fearing loss of control and potential competition. In addition, TechCorp requires comprehensive support services, including training and maintenance, while Software Inc. was unwilling to provide such extensive support.

The negotiation breakdown between Software Inc. and TechCorp highlights the importance of trust, flexibility, and preparation in negotiation. By understanding the key issues and lessons learned, parties can better navigate complex negotiations and achieve successful outcomes.

Case Study Analysis

Answer the following questions:

1. What were the key issues that led to negotiation breakdown?
2. How could the parties have established trust and improved communication?
3. What creative solutions could have been explored to address the pricing, usage rights and support services issues?



Practice

ACTIVITY 1

Instructions: Team up with a partner, practice role-playing the given negotiation scenario below and take turns. Supply the appropriate key vocabulary (“**Can we agree on...**” and “**Let’s find a middle ground...**”) in the blanks.

Scenario:

David, a software developer, is negotiating a contract with a potential client. The client wants a custom software solution.

Client: I’m interested in the software solution, but I’m concerned about the price. Can we discuss it further?

David: Absolutely. I understand that budget is a concern. _____ that works for both of us. What is your target price range?

Client: I was thinking of around \$50,000, but I know that’s a bit lower than your initial quote.

David: I see. We can work with that. _____ a price of \$55,000, and we can include some additional features that will enhance the user experience?

Client: That’s sounds reasonable. What kind of features are you thinking of?

David: We can include some advance reporting tools and integration with other software systems.

Client: That sounds great. I think we can agree on that price and scope of work.

ACTIVITY 2

Instructions: To deliver a successful negotiation, consider the following tips using the words from the provided list that best fits the context of each sentence.

compromise	closing a deal	terms	leverage	persuasion
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1. Negotiation involves using _____ to influence the other party's decision.
2. To negotiate effectively, you need to understand the other party's needs and use this information to your _____.
3. When negotiating a contract, it's essential to review the _____ carefully.
4. The ultimate goal of negotiation is _____ that satisfies both parties.
5. In some cases, negotiation may involve _____ on certain issues to reach a mutually beneficial agreement.



Production

To help you feel more confident and prepared when negotiating, answer the following scenario-based questions.

Scenario 1: Contract Negotiations

You are a sales representative for a software company, you are negotiating a contract with a potential client, the client is interested in purchasing your software but is concerned about the cost. What do you do?

Questions:

1. How do you address the client's concerns about the cost?
2. What negotiation strategies do you use to try to close a deal?
3. What are the key benefits of your software that you highlight during the negotiation?

Scenario 2: Salary Negotiation

You are negotiating your salary with a potential employer. They initially offer less than what you expected.

Questions:

1. How do you address the employer's offer?
2. What justifications do you provide to negotiate for a higher salary?
3. How do you highlight your qualifications and experience during the negotiation?

Scenario 3: Project Scope Negotiation

You are the project manager negotiating the scope of work with a client who wants to add more features than originally planned.

Questions:

1. How do you handle the request for additional features?
2. What alternatives do you propose to keep the project on budget and on schedule?
3. How do you communicate the impact of these changes on the project timeline?



Key Vocabulary

Word/Phrase	Use	Example
Persuasion	Used in influencing the other party's thoughts, feelings, or actions to achieve a desired outcome.	<i>The sales representative used a persuasion technique to convince the customer to sign the contract.</i>
Leverage	Used to gain concessions, to influence the terms of an agreement, or to achieve a desired outcome	<i>The company used its leverage as a major supplier to negotiate a better price with the buyer.</i>
Terms	Refers to the specific conditions, provisions, or requirements agreed upon by the parties involved.	<i>The two parties agreed on the terms of the contract, including the price, delivery date, and payment schedule.</i>
Closing a deal	The final stage of the negotiation process where the parties involved reach a mutually acceptable agreement.	<i>The two companies finally succeeded in closing a deal that met both parties' needs.</i>
Compromise	Used to find a mutually acceptable solution, build trust and rapport, and/or reach a timely agreement.	<i>The union and the management were able to reach a compromise on the new contract, agreeing to a 5% wage increase instead of 10%.</i>
Let's find a middle ground	Used to suggest a compromise or to shift focus from opposing positions to finding a mutually beneficial solution.	<i>Let's find a middle ground that works for both of us.</i>
Can we agree on	Used to seek confirmation or consensus or test the other party's willingness to agree.	<i>We've discussed the terms and conditions, can we agree on a price of \$10,000 for the project.</i>



Homework

The Lemon Negotiation

Instructions:

1. Work in pairs.
2. One person to be the “Seller” and the other to be the “Buyer.”
3. The Seller wants to sell the lemon for as much money as possible.
4. The Buyer wants to buy the lemon for as little money as possible.
5. Time limit is 3-5 minutes audio recording.
6. Negotiate and come to an agreement on the price.
7. Submit the recorded presentation.